

Maintenance Contract Margin Improvement Strategy

Executive Plan: Pricing, OT Revenue Capture, and Cost Reduction Framework Version 1.0 (Initial draft)

1. Executive Objective

The objective is to use maintenance contract analytics to protect a minimum X% margin by combining **two dimensions: revenue improvement and cost reduction**. The available Power BI parameters such as Overall Revenue, Overall Claims, Margin, Margin %, Approximate LTD Usage, Total Allowable Hours, Cost Per Hour, Contract Amassed %, contract dates, equipment object, customer, and contract type provide the foundation for a data-backed maintenance contract performance model.

The strategy is to identify contracts where hours used are increasing cost, where over-time usage should increase revenue, and where parts and service costs are eroding margin. The model should support pricing decisions, OT tracking, contract renewals, rate negotiations, and cost-control actions by customer, contract, and equipment object.

2. Current Dashboard Inputs and Business Meaning

1) Revenue Improvement: [MC OT Report](#) 2) Cost Reduction: [Fever Report GM Cost Analysis](#) (Currently under review and can be improved to address cost reduction and revenue improvement)

Metric	Business Meaning	Primary Use	Margin Impact
Overall Revenue	Contract Invoiced + Contract OT revenue.	Base revenue and realized OT monetization.	Higher revenue improves margin if costs are controlled.
Overall Claims	Total cost incurred through parts, service, and other claim activity.	Cost control and profitability monitoring.	Higher claims reduce margin.
Margin / Margin %	Revenue less claims, and margin divided by revenue.	Executive profitability KPI.	Minimum target should be $\geq$ X%.
Approximate LTD Usage	Estimated usage from available meter readings and projected missing days.	Determines utilization and OT risk/opportunity.	High usage can raise claims and should trigger OT pricing.
Total Allowable Hours	Contracted allowable hours across the contract period.	Compares entitlement vs actual/projected utilization.	Defines overage threshold.
Cost Per Hour	Overall Claims divided by Approximate LTD Usage.	Converts cost into an operational unit rate.	Used to price contracts and identify expensive equipment.
Contract Amassed %	Usage consumed as a percentage of total allowable hours.	Shows how fast entitlement is being consumed.	Early high consumption indicates future margin risk.

3. Margin and Pricing Equation

Target margin is X%. Therefore, claims/cost should not exceed (100-X)% of revenue. The model should calculate the required revenue and recommended maintenance contract price needed to maintain the target margin.

Formula	Equation	Purpose
Margin	$\text{Margin} = \text{Overall Revenue} - \text{Overall Claims}$	Shows profit dollars by customer, contract, or equipment.
Margin %	$\text{Margin \%} = \text{Margin} / \text{Overall Revenue}$	Primary executive KPI; target $\geq 55\%$. (Gold+Platinum+Silver)
Required Revenue	$\text{Required Revenue} = \text{Overall Claims} / (1 - \text{Target Margin \%})$	For 55% margin: $\text{Required Revenue} = \text{Claims} / 0.45$.
Required MC Price	$\text{Required MC Price} = \text{Required Revenue} - \text{Expected OT Revenue}$	Determines base contract price after expected OT is considered.
Expected OT Revenue	$\text{Expected OT Revenue} = \text{MAX}(0, \text{Approx LTD Usage} - \text{Total Allowable Hours}) \times \text{OT Unit Price}$	Captures usage above contracted allowance.
Cost Per Hour	$\text{Cost Per Hour} = \text{Overall Claims} / \text{Approximate LTD Usage}$	Measures cost intensity of equipment utilization.
Allowable Cost at Target Margin	$\text{Allowable Cost} = \text{Overall Revenue} \times 45\%$	Defines cost ceiling needed to preserve 55% margin.
Cost Reduction Required	$\text{Cost Reduction Required} = \text{MAX}(0, \text{Overall Claims} - \text{Allowable Cost})$	Quantifies required parts/service cost improvement.

4. Two-Dimensional Margin Improvement Strategy

Dimension	Primary Lever	Data Signals	Recommended Actions	Expected Result
Revenue Improvement	OT tracking and pricing discipline	Approximate LTD Usage > Total Allowable Hours; high Contract Amassed %; frequent over-utilization; OT Unit Price gap.	Apply OT billing, renegotiate contract hours/rates, update renewal pricing, and set alerts before annual anniversary or contract renewal.	Higher realized revenue and stronger protection against high-utilization contracts.
Cost Reduction	Parts and service cost control	Overall Claims rising faster than revenue; high Cost Per Hour; low margin contracts; repeated tech charges.	Review claim drivers, reduce repeat service visits, analyze parts usage, improve preventive maintenance, and standardize service practices.	Lower claims, higher margin, reduced waste, and better contract profitability.

5. Executive Flow: From Data to Action

Executive flow: Contract + Equipment Data -> Usage Analytics -> Financial Analytics -> Risk/Opportunity Classification -> Executive Action. This sequence connects the source data to pricing decisions, OT billing, renewal negotiation, and cost containment actions.

6. Step-by-Step Data-Backed Analysis Plan

Step	Question Answered	Required Fields / Measures	Output	Executive Decision
1	Which contracts are profitable or below target?	Overall Revenue, Overall Claims, Margin %, Customer, MC, Equipment Object.	Contracts grouped as Healthy, Watch, or Margin Risk.	Prioritize renewals and interventions.
2	Is high usage driving cost?	Approximate LTD Usage, Total Allowable Hours, Contract Amassed %, Cost Per Hour.	Usage-to-cost relationship by equipment and customer.	Target high-use assets for OT pricing and service review.
3	Are we capturing OT revenue effectively?	Approx LTD Usage, Total Allowable Hours, OT Unit Price, Contract OT.	Estimated missed or expected OT opportunity.	Bill OT, renegotiate rates, or adjust included hours.
4	Which costs are eroding margin?	Overall Claims, parts cost, service/tech charges, claim frequency.	Cost variance and top cost drivers.	Reduce repeat repairs and improve service efficiency.
5	What should the MC price be?	Target Margin %, Claims, Expected OT Revenue, Required Revenue.	Recommended base MC price and required rate adjustment.	Set renewal price and defend customer negotiation.
6	How do we monitor sustainment?	Monthly margin, usage, cost per hour, OT collected, renewal action status.	Executive scorecard.	Maintain margin $\geq$ X% and track actions.

7. Contract Pricing Decision Model

For each MC + Equipment Object, calculate required revenue and compare it with current revenue. If current revenue is below required revenue, the gap should be addressed through base price increase, OT billing, reduced included hours, service cost improvement, or a combination of these levers.

Condition	Interpretation	Recommended Pricing Action	Operational Action
Margin % $\geq$ X% and usage $\leq$ allowable	Contract is healthy.	Maintain pricing; review at renewal.	Continue monitoring.
Margin % $\geq$ X% and usage > allowable	Revenue is healthy, but usage is high.	Ensure OT is billed and renewal hours/rates are adjusted.	Monitor equipment utilization and customer usage behavior.
Margin % < X% and usage > allowable	Contract is underpriced and high utilization is likely driving cost.	Increase base price, enforce OT, or reduce included hours.	Review parts/service claim drivers.
Margin % < X% and usage $\leq$ allowable	Cost issue is likely not usage alone.	Avoid price-only decision until cost drivers are reviewed.	Investigate parts, tech charges, repeat service, and warranty/claim coding.
Revenue = 0 and Claims > 0	High-risk cost-only contract activity.	Immediate billing/revenue review.	Audit contract setup and claim posting.

8. Recommended Power BI Measures / KPIs

KPI	Definition (Example)	Purpose
Target Margin %	55%	Executive margin threshold.
Allowable Cost at Target Margin	Overall Revenue x 45%	Maximum cost allowed to maintain 55% margin.
Required Revenue at Target Margin	Overall Claims / 0.45	Revenue needed based on current cost.

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Revenue Gap	Required Revenue - Overall Revenue	Pricing or OT gap to close.
Expected OT Hours	MAX(0, Approx LTD Usage - Total Allowable Hours)	Over-utilized hours.
Expected OT Revenue	Expected OT Hours x OT Unit Price	Revenue opportunity from overage.
Cost Reduction Required	MAX(0, Overall Claims - Allowable Cost)	Cost reduction needed to hit margin.
Pricing Recommendation	Required Revenue - Expected OT Revenue	Recommended base maintenance contract revenue target.

9. Executive Dashboard Design Recommendations

Page	Audience Question	Visuals	Action Trigger
Executive Summary	Are MC margins protected?	Cards for Revenue, Claims, Margin %, Revenue Gap, Cost Reduction Required; matrix by customer.	Margin % below X%.
OT Opportunity	Where should OT increase revenue?	Scatter: Contract Amassed % vs Margin %; table by equipment object.	Usage above allowable or projected above allowable.
Cost Reduction	Where are parts/service costs driving margin erosion?	Top cost contracts, cost per hour, claims trend, parts/service split.	Cost per hour above threshold or claims above allowable cost.
Pricing / Renewal	What price is needed to maintain X% margin?	Recommended MC price, price gap, renewal priority list.	Revenue gap above tolerance.
Customer View	Which customers need commercial or operational action?	Customer rank by revenue gap, margin risk, and OT opportunity.	High value customer with low margin.

10. Implementation Roadmap

Phase	Timeline	Focus	Deliverable	Owner / Partner
Phase 1	Week 1-2	Validate key uniqueness and metric definitions.	MC + Equipment Object key, margin formulas, OT formula validation.	Analytics + SMEs
Phase 2	Week 3-4	Build margin and pricing model.	Required revenue, pricing recommendation, OT opportunity measures.	Analytics + Finance
Phase 3	Week 5-6	Operational cost driver analysis.	Parts/service/tech charge decomposition and cost-reduction dashboard.	Service + Parts SMEs
Phase 4	Week 7-8	Executive rollout.	Executive dashboard and renewal/pricing action list.	Leadership + Sales/Operations
Ongoing	Monthly	Governance and sustainment.	Action tracking, accuracy review, margin trend analysis.	Report Owner + SME Champion

11. Governance and Validation

Before using the model for pricing decisions, the model should include validation checks for duplicate keys, blank revenue, claims without revenue, missing meter readings, reading rollbacks, negative usage, and contract records with zero allowable hours.

The pricing model should be reviewed with Finance, Service, Parts, Sales, and contract SMEs. Final pricing recommendations should include both the analytical result and business judgment, especially for strategic customers where relationship value, contract terms, and service commitments may influence the final decision.